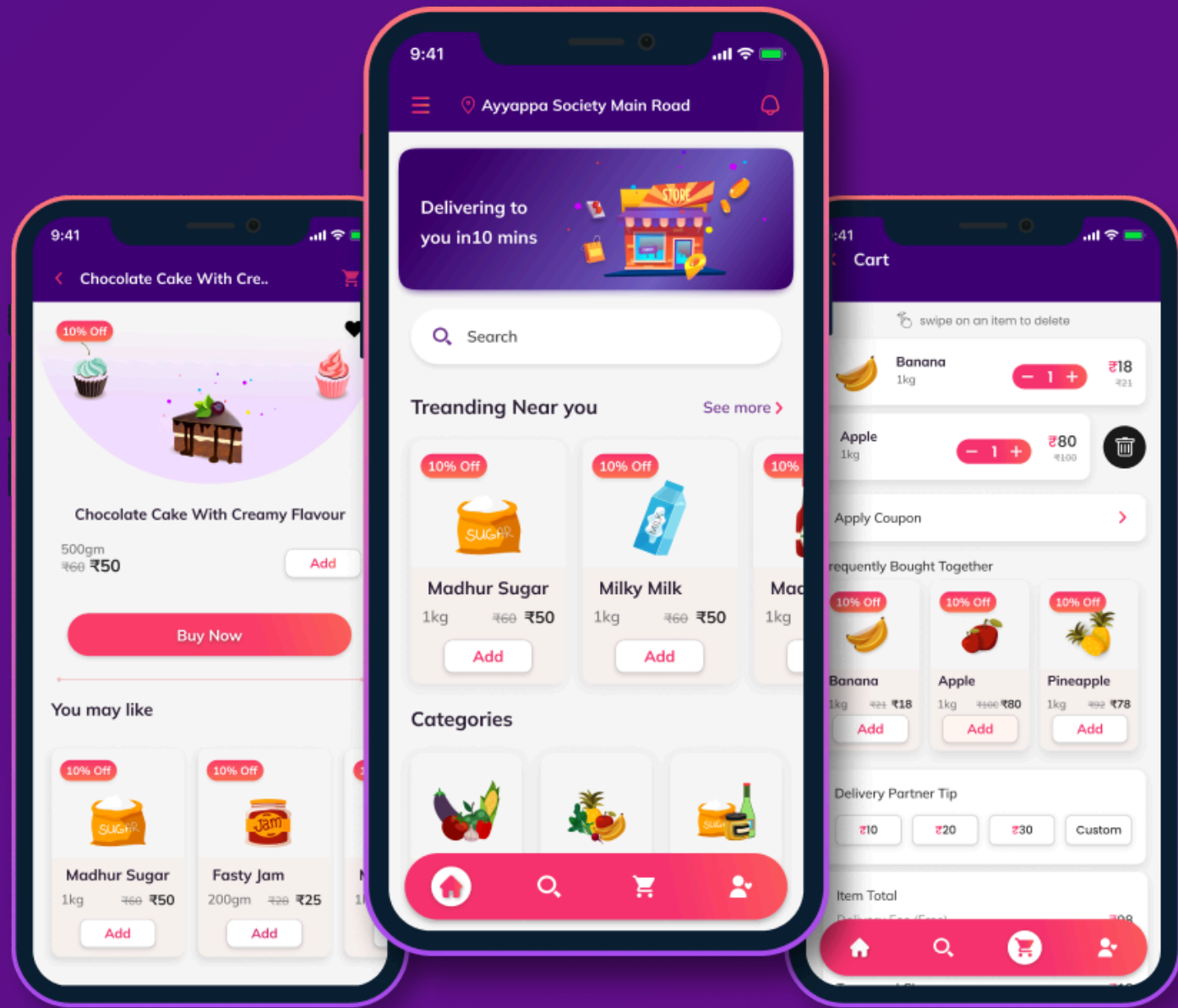


Boosting order value, Drive growth and improve grocery shopping experience





Overview

What is Zepto?

Zepto is a grocery delivery app that allows users to order groceries and have them delivered within **10 minutes**, offering unparalleled convenience to customers.

Value Propositions

- Instant delivery
- Seamless User experience
- affordable pricing
- Wide selection of high quality products

Zepto Statistics


Rs 400-450
Average order value


10
Serviceable cities


200 Dark
Stores


\$1Bn
GMV


25%
Market Share

Market Insights

India's quick commerce market is growing with a total addressable market (TAM) estimated at **\$45 billion**, surpassing that of food delivery between **2021 to 2023**

Actors

Customers

Delivery Riders

Technology team, Operators

Suppliers and vendors

How Zepto Generates revenue?

1
Commissions fees from customers and grocery stores

2
Subscription and membership

3
Advertisement of grocery stores

How Zepto deliver order in 10 mins?



Competitors



What is Dark store?

A dark store is a retail distribution center or warehouse used for fulfilling online orders, without serving walk-in customers.

How does Dark store work?

- Order processing,
- order picking, packing,
- delivery preparation,
- Inventory management



Business & Product Outcomes

Mapping Business outcome to Product outcomes



What Is the Goal?

How to improve the **Gross order value(GOV) throughput per store** as that helps in improving **unit economics**

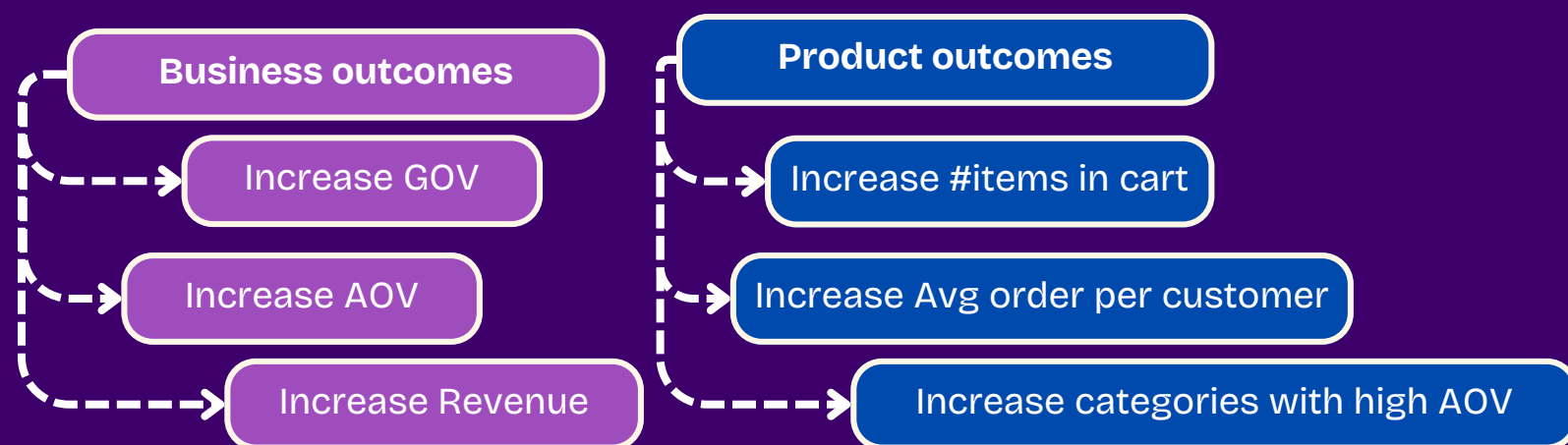
What Is the GOV?

Gross Order Value (GOV) is the total value of all orders placed on a platform before any deductions like discounts, taxes, or fees.

Competitive Analysis

Aspect	 Instamart	 blinkit	 zepto	 bigbasket
Delivery Speed	15-30 mins	10-15 mins	10mins	Longer
Product Range	 Wide	 Wide	 focused	 extensive
Vol based discounts	 Competitive	 Excellent	 Needs Improv	 Competitive
Bundling offers	 Needs Improv	 Leading	 Needs Improv	 Competitive
Promotions	 Frequent	 Aggressive	 Frequent	 Membership

Desired Business and Product Outcomes



Why GOV matters for Zepto?

- Measures overall sales performance and customer demand.
- Helps track growth trends and set revenue targets
- Identifies areas for business improvement.
- Reflects customer engagement and purchasing activity.

Key findings from Competitive analysis?

- Expand variety to encourage more purchases
- Create attractive bundle deals to boost multiple items purchase
- Offer better bulk purchase discounts to drive higher AOV

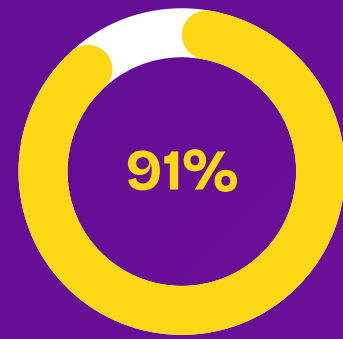
What Is Throughput per store?

Throughput per store refers to the number of orders or transactions that a dark store processes within a specific period. It measures how efficiently a dark store handles customer demand and fulfills orders.

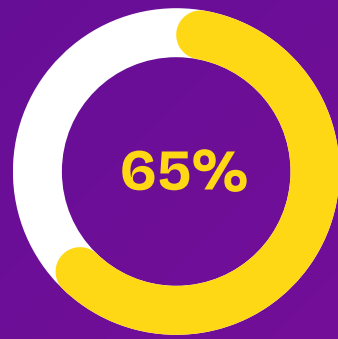
Market & User Research

Survey link(33 responses)

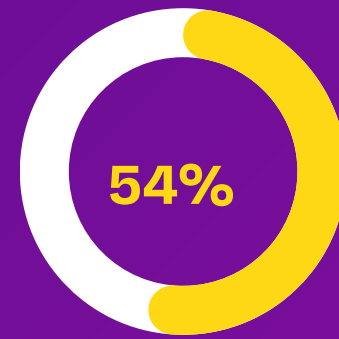
Key survey Findings



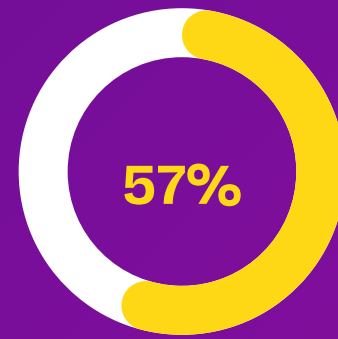
Lies in the age range of 20-30yrs



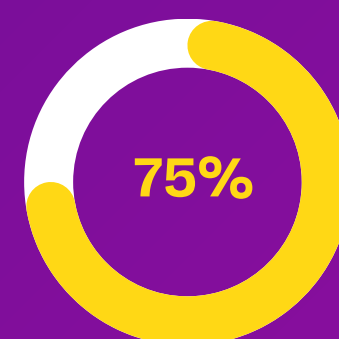
order Grocery(Fruits & vegetables



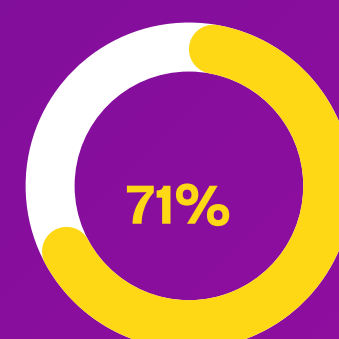
Users order at least once in a week



Quality concerns



Feel pressure to order in Bulk due to surge fee



Cancels their order due to demand surge

Interview Insights(4 user interviews)



"I like to stock up on bulk items to store at home, but I haven't found a feature on Zepto that supports bulk ordering."

-Pawana, an interviewee, Pune

"Sometimes, while preparing breakfast, I realize I'm missing an ingredient, and that's when I rely on quick commerce platforms like Zepto to deliver it quickly."

-Akashjot, an interviewee, Chandigarh

"I often order snacks from Zepto, but I can't find any bundle/combo options, which would help me increase the order value and get more variety."

-Elroy, an interviewee, Bangalore

Possible Hypothesis

- Users might be looking for a dedicated feature that supports bulk ordering for stocking up on essential items.
- Users might be relying on quick commerce platforms for urgent, last-minute needs and require faster access to essential items like groceries.
- Users might be interested in bundle or combo deals to increase order value and variety, especially when ordering snacks or other frequently purchased items.
- Users might be more likely to engage with Zepto if there were personalized recommendations for bulk and combo deals based on their purchasing behavior.

Interview Takeaways



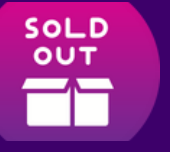
Users tend to use for urgent and small item



Fast delivery is the key reason for use



Users typically place order for low AOV products



Order getting out of stock is one of the common problems



Secondary Research



Statistical Insight

- India's quick e-commerce is expected to grow at a **CAGR of 63%** from 2023 to 2030 due to rising consumer adoption of convenient online shopping.
- Increasing internet penetration is driving this rapid market expansion.
- The online grocery market, valued at over 669 billion rupees in 2023, is the fastest-growing category with over **20% annual growth**.

Behavioural Insights

- **Fruits & Vegetables segment** to dominate India Quick E-Commerce.
- Demand fueled by **health focus**.
- Consumers seek **cash-free, hassle-free shopping**

Source

User Persona & Target user segment



User Persona



Abhishek

26 years | Marketing Manager | Lives alone and cook for himself | Pune | Works from Office | Don't have much time for cooking

JTBD: "When I need to order snacks quickly but don't have time to browse, I want personalized combo recommendations so I can easily choose a variety of options"

Pain Points

- Don't have much browsing time
- Don't find any variety in products
- Can't create their own combo of snacks



Sweta

30 years | DevOps Engineer | Lives with Husband and one kid | Bangalore | Works from both Home and Office | Passionate about cooking , tech-savvy, creative

JTBD: "When I want to order items in bulk to stock up for the future, I need access to discounts or special offers that make bulk purchasing more cost-effective and convenient."

Pain Points

- Don't have anything to track when the stock is over
- Find it costly to order from app if order in bulk due to high upfront cost
- Do not find any personalization for the bulk purchase

Who are we solving this problem for(Target User segment)



People in Tier 1 city



GenZ aged between 20-30 years, who prefer convenience and speed

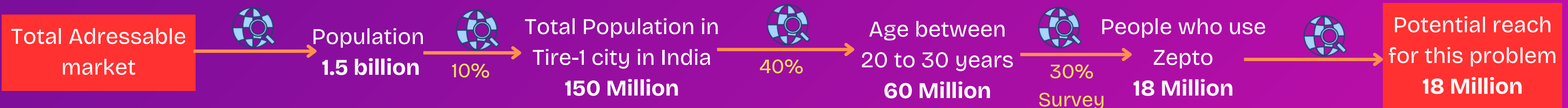


Busy professionals preferring convenience and speed to save time and avoid long queues at shopping marts.

Reasons for selection

Rapidly Growing Segment:

Young millennials and Gen Z, aged 20 to 30, represent a rapidly expanding demographic that prioritizes convenience and speed, have a higher disposable income, influential, and adaptable to new app features. These characteristics make them a **prime audience** for driving increased average order values and overall business growth for Zepto.





Problem Identification & Potential solutions

What is the True Problem?(3 why analysis)

Zepto's user experience struggles to increase order sizes, leading to lower-than-expected order values and challenging unit economics, despite its expanding user base.

WHY Customers focus on fulfilling their immediate needs

WHY Customer missing out on the advantages of buying in larger quantities.

WHY Customers don't see in benefits of ordering large quantities like combo/discounts etc

Who are the customers facing this problem?

The users facing this issue are primarily **Young Millennials and Gen Z (aged 20–30)**. This segment comprises roughly **18 million** Indians.

How do we know this is the real problem?

User survey: Survey showed that **71% of users** feel pressure to order in bulk due to surge fee

User Interviews: **66% of users interviewed** are unaware of the advantages of high order value product

Customer Behavior: Lower average order values suggest users are hesitant to place larger orders, driven **by trust concerns and a lack of personalized offers.**

Why should we solve this problem now?

Competitive Market: Urgent action needed to maintain competitiveness in the grocery delivery market, with India's Quick E-Commerce sector projected to grow at a **CAGR of 63% from 2023 to 2030**.

Revenue Growth: Increasing the average order value is essential for enhancing **unit economics and accelerating overall revenue growth.**

Value Generated

for business



for customers



Potential Solutions

1

Zepto Stock up:
A feature order groceries in bulk and track household inventories

2

Smart bundle creator:
Offers with a bundle and combos of product and in a discounted price

3

Zepto Crates:
Subscription based services which deliver their preferred fruits and vegetables regularly

Prioritization & System Design

Prioritization

Scale: Low(1),Medium(2),High(3)

Zepto Stock up

How it works to solve customer problem

Zepto Stock-Up encourages bulk purchases with personalized recommendations and real-time discounts, reducing frequent reordering and ensuring users save with promotions.

Key elements:

Stock-up notifications|Bulk Discounts|Personalized recommendations|Shelf life indicators|

Smart bundle creator

How it works to solve customer problem

Smart Bundle Creator offers personalized item combinations, and recipe integration, highlighting savings and providing visual previews and shareable bundles for added convenience and value.

Key elements:

Suggested bundles creators|customization|saving calculator|Recipe integration|

Zepto Crates

How it works to solve customer problem

Personalized weekly subscription boxes ensure customers regularly receive their preferred fruits, dairy, and vegetables, eliminating out-of-stock issues and simplifying grocery shopping by removing the need to reorder.

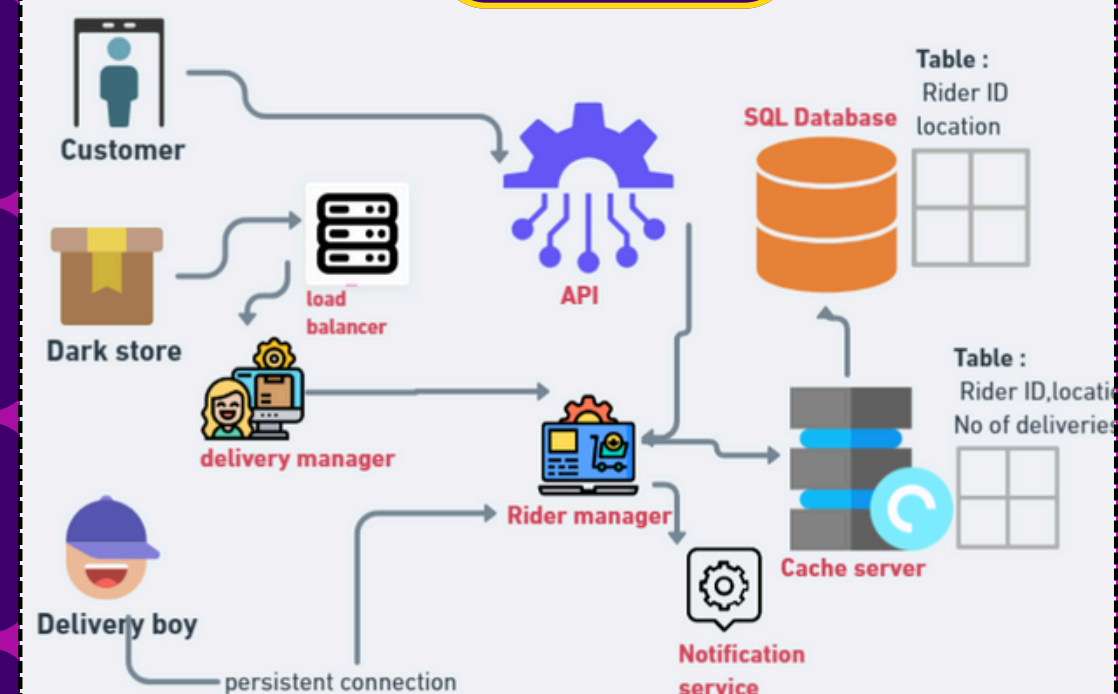
Key elements:

Personlized|Weekly subscription|Flexible delivery option

New feature user flow



System design



User centricity(U)

High(3)

Fully address the pain points

Impact(I)

High(3)

Enhances user engagement and experience

Effort(E)

Medium(2)

Requires decent tech bandwidth

Score(U*I/E)

4.5

Medium(2)

Does not fully address the pain points

High(3)

Enhances user experiences

Medium(2)

Requires decent tech bandwidth

3

Low(1)

Does not fully address the pain points

Medium(2)

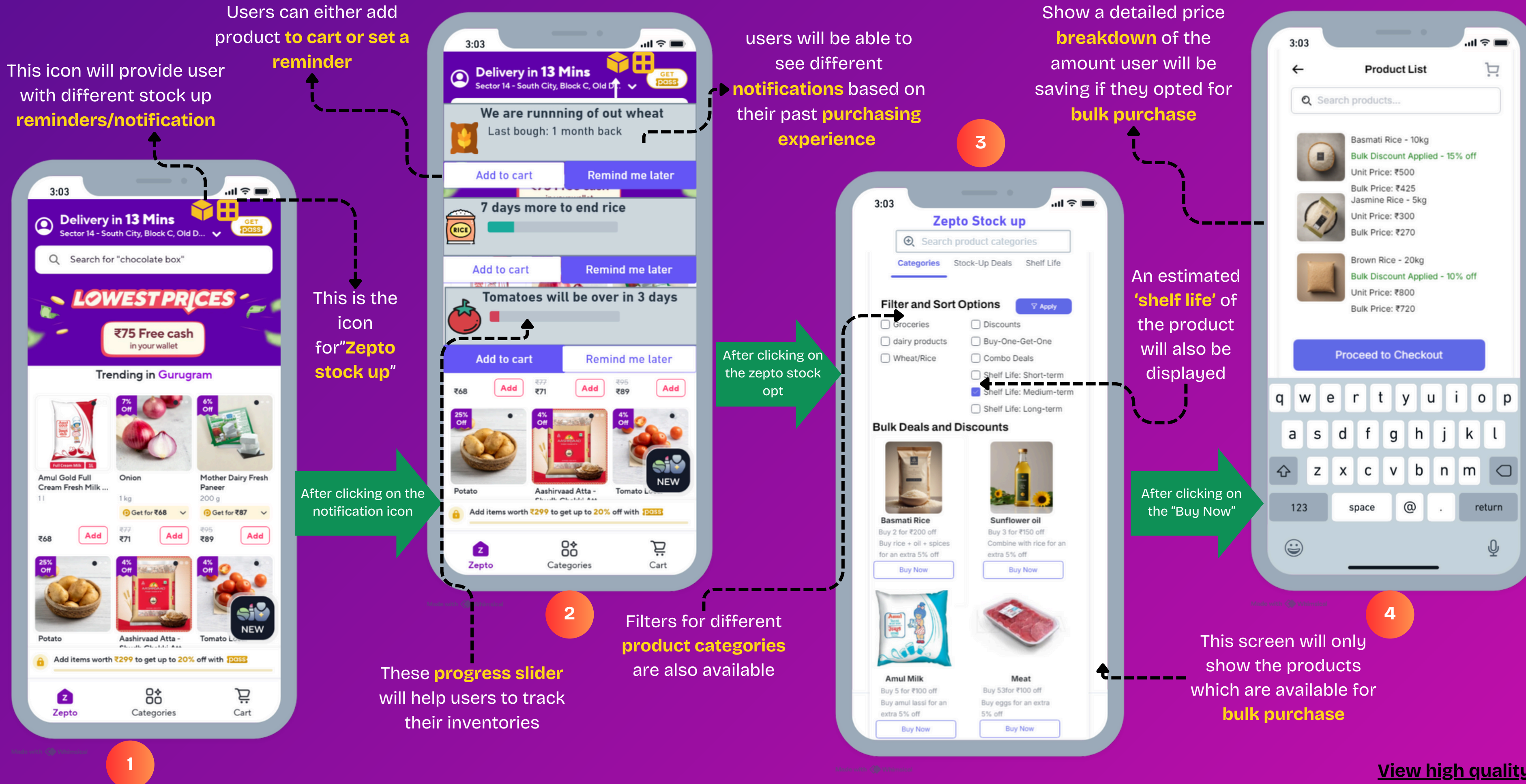
enhances trust

Medium(2)

Requires decent tech bandwidth

1

Wireframes: Visualizing Solution(Zepto Stock up)





Metrics (Measuring Success), Pitfalls & Mitigation



Metrics



Pitfalls and mitigations



Will Zepto
stockup
be able to
increase
the AOV
value?

Can we go
ahead
with zepto
stockup?

Are
users
coming
back to
our
platform
after
using
this
feature?

Type	Metrics	Purpose
North star metric	1.Average order value	1.Track the AOV generated on zepto after implication of this feature using total revenue/Total orders
User adoption metrics	1.Feature adoption rate 2.Feature usage rate 3.Bulk order discount rate	1. #of users using the zepto stockup feature out of total users 2. #discount applied/total orders placed
Engagement metrics	1.Daily active users(DAU) 2.Monthly active users(MAU) 3.Average session time	1. #CTR on notification 2. #add to cart using notifications 3. #of users applying filters
	1.Card abandonment Rate	1.# add to cart/#cart abandoned
Conversion and retention metrics	1.Repeat purchase rate 2.conversion rate 3.CLTV 4.Churn rate	1. #of users keep using the feature over a certain time frame 2. #of users completing purchase using stockup 3. #of users who stopped using the platform
Satisfaction metrics	1.CSAT 2.Referral rate	1. #of satisfied users after using the feature 2.#of users who gave a referral to other users

Risk:

Users may find themselves bombarded with excessive stock-up alerts, expiration warnings, and discount notifications, leading to notification fatigue.

Mitigation:

Introduce customizable notification settings that allow users to choose the frequency and type of alerts they want to receive.

Risk:

Inaccuracies or mismatches in tracking expiration dates might lead to wrong reminders

Mitigation:

Include a feature for users to manually adjust or update expiration dates based on real-time changes, such as repackaging or freezing products.

Risk:

Increased bulk orders may lead to inventory stockouts or logistic delays, impacting customer satisfaction.

Mitigation:

Integrate real-time inventory tracking with automated stock reordering to manage supply based on bulk purchasing trends.